



Sample Firm

Development Ground Up Multifamily Sample

DEFENSIVE INCOME INVESTMENT SUMMARY

Sample Deal

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Deal Type	Development
Hold Period	10 Years



This investment is structured with a defensive income posture, emphasizing NOI stability, debt coverage, and downside protection under adverse scenarios.

Key Return Metrics

Metric	LP	GP
IRR	10.72%	11.03%
MOIC	2.34x	2.31x
DSCR (Stabilized)		1.25x
Net DSCR (Agency — net of Repl. Reserve)		1.15x
Equity Profit (LP + GP)		\$5.9M

IRR Attribution — Income: 6.48% · Appreciation: +5.18%/yr · Leverage Effect: -0.95%

Capital Structure

Total Project Cost	\$10.0M
Senior Debt	\$6.5M (65.0% LTC)
LP Equity	\$3.161M (71.4% of equity)
GP Equity	\$1.264M (28.6% of equity)
Stabilized NOI	\$648K
Exit Cap Rate	5.00%
Projected Exit Value	\$15.2M
LP Preferred Return (Promote Hurdle)	8.00%

Sponsor Fee Load & Compensation

Asset Management Fee (lifetime, 1.50%/yr)	\$474K
Contractual Fees — earned even if the deal only returns capital	\$474K (4.74% of TPC)
GP Catch-Up (performance)	\$779K
GP Promote (performance — paid only above the LP preferred hurdle)	\$409K
Total Sponsor Compensation	\$1.7M (16.62% of TPC)

Fee convention: the Developer/Acquisition Fee is entered ALL-IN (development + acquisition + construction management); disposition costs including any GP disposition fee are inside the Exit/Disposition Cost line. Asset management fee shown is the lifetime amount actually earned on the committed-capital basis.

Sponsor Profile

Years in Business	5
Total AUM Managed	\$100,000,000
Transactions Closed	3 deals
Total Transaction Volume	\$100,000,000

Key Principals

Sample Person #2, Director — Sample Person #2 bio, 20+ years experience in commercial real estate, serving as a director for Sample Firm for 2 years....

Sample Person #3, VP of Finance — Sample Person #3 bio, 20+ years experience in commercial real estate, serving as a VP of Finance for Sample Firm for 1 years....

Selected Transaction History

Project	Type	Market	Size	LP IRR	Hold (yrs)	Status
Sample Deal Past Record #1	Multifamily	Phoenix, AZ	42,000,000	16%	5 yrs	Realized
Sample Deal Past Record #2	Multifamily	Charlotte, NC	31,000,000	14%	6 yrs	Realized
Sample Deal Past Record #3	Multifamily	Denver, CO	58,000,000	13%	4.5 yrs	Current

Investment Thesis

This is a development opportunity targeting a 10-year hold period. Stabilized NOI of \$648K at a 5.00% exit cap rate supports the projected return profile.

Sample Firm is developing a ground-up multifamily community and holding it through stabilization on a 10-year horizon. The strategy is straightforward: capture the development margin between total project cost and stabilized value, then hold the asset for durable, in-place cash flow rather than selling into the merchant-build premium.

The return is built on new construction in a supply-constrained submarket, a stabilized NOI of \$648K underwritten at a 5.00% exit cap, and permanent financing sized conservatively at stabilization. The 10-year hold lets the depreciation shield work through the early years and defers the exit tax, so the after-tax LP return is modeled to completion rather than stopped at a pre-tax figure. Downside is anchored by newly built collateral, conservative leverage, and a debt service reserve funded at closing.

Debt Optimization — Addressing Negative Leverage: The current negative leverage effect (-0.95%) is a

transitional condition common in development transactions where the construction/bridge rate (7.25%) temporarily exceeds the property's unlevered yield. Management's plan to address this includes: (1) refinancing at stabilization at a lower permanent rate; (2) NOI growth through lease-up of the newly delivered units and burn-off of initial concessions as the property reaches stabilized occupancy; and (3) optional LTV reduction at refi to achieve positive leverage. The deal's stabilized NOI projections support a positive-leverage permanent structure at exit.

Market Analysis

The submarket has seen sustained rent growth on limited new deliveries, with vacancy inside institutional targets. Recent comparable multifamily trades have cleared in the low-5% cap range, supporting the 5.00% exit assumption. New supply in the immediate radius is constrained by land cost and entitlement timelines, which protects lease-up pace on delivery.

Sensitivity Analysis

Blended \ Cap	4.50%	4.75%	5.00%	5.25%	5.50%
5.74%	13.49%	12.60%	11.71%	10.85%	9.97%
5.99%	13.01%	12.11%	11.22%	10.35%	9.45%
6.24%	12.53%	11.62%	10.72%	9.85%	8.93%
6.49%	12.06%	11.13%	10.22%	9.35%	8.71%
6.74%	11.60%	10.66%	9.75%	8.87%	8.76%

Highlighted cell = actual inputs. Each cell reflects a full model run at those rate and cap assumptions.

Narrative

At base assumptions, LP IRR is 10.72%.

Rate Sensitivity (blended financing rate): A 25 bps increase reduces LP IRR to 10.22% (-0.49%). A 50 bps increase reduces LP IRR to 9.75% (-0.97%).

Exit Cap Rate Sensitivity: A 50 bps cap rate expansion reduces LP IRR to 8.93% (-1.79%).

Combined Stress (+50 bps rate, +50 bps cap): LP IRR of 8.76% (-1.96%). The deal remains above minimum return thresholds under the combined stress scenario.

Risk Factors & Mitigants

1. Construction / Execution Risk: Fixed-price GMP contract with bonded GC; 10% contingency included in budget.

2. Lease-Up / Absorption Risk: Conservative ramp assumption based on market comps; pre-leasing strategy in place.

3. Interest Rate / Floating Rate Risk: Rate cap purchased through maturity; stress-tested at +50 bps — LP IRR: 9.75%.

4. Refinancing / Exit Financing Risk: Perm loan sized conservatively at LTV; underwritten at current forward curve.

5. Exit Cap Rate / Valuation Risk: Exit cap of 5.00%; 50 bps expansion stress: LP IRR 8.93%.

6. Leverage Dilution Risk: Management is actively evaluating two paths for debt optimization: (1) early paydown at Month 24 to normalize leverage; (2) structured refinancing at stabilization to align debt service with NOI growth.

7. Replacement Reserve / Deferred Maintenance Risk: Annual replacement reserve (roof, HVAC, elevators) modeled post-stabilization; reduces distributable cash flow. Fannie/Freddie deduct this before DSCR (Net DSCR shown in badge).

8. Market / Rent Growth Risk: Rents underwritten at current in-place comps; no speculative growth in base case.

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